**As Prepared For Delivery**

**Juan Ramón Alaix, Chief Executive Officer**
**1Q15 Earnings Script: May 5th, 2015**

Thank you John and good morning to everyone.

In my remarks today, I will briefly comment on our performance for the quarter and then I will provide details of the operational efficiency program that we announced this morning.

Paul will then walk you through our results for the quarter and discuss the financial impact of the operational efficiency program, including an update to guidance for 2015, 2016, and 2017.

QUARTERLY PERFORMANCE

During the first quarter, we generated operational growth of 6% in revenue and 14% in adjusted net income, delivering adjusted diluted EPS of 41 cents per share.

During the quarter, half of our operational growth, or 3%, was attributed to price. New products such as Actogain and acquired products from Abbott Animal Health accounted for another 2%, while in-line products contributed 1% of revenue growth for the quarter.

As a note, all of the following growth rates that I will be discussing are operational growth rates.

In livestock, we grew 7% to $715 million with all species contributing to growth. Cattle revenue grew 7% to $397 million with favorable market conditions in the U.S. and Brazil driving growth across the portfolio, while weather and reduced herd size led to declines in Australia and New Zealand.

Swine revenue, which grew 13% to $170 million, is benefitting from increased herd size in the U.S. after a winter of lower piglet mortality from PEDv, plus positive industry momentum in the CLAR region.

Poultry revenue grew 1% to $129 million as the U.S. reintroduction of Zoamix, a medicated feed additive, helped to offset a negative impact from the timing of product rotations in several countries.

Turning to Companion Animal, revenue grew 4% to $377 million due to the continued performance of key brands and overall strong growth in China and Latin American markets. We closed on the purchase of Abbott Animal Health assets in early February, so sales of newly acquired Abbott products also contributed to results. They were recorded primarily in the U.S. where we are seeing additional competition in the pain and sedation categories.

These results continue to demonstrate the strength of the business model as defined by our 3 interconnected capabilities: the largest and most capable field force in the industry with direct customer interactions, investing more in innovation than any other company, and having the highest quality products and more reliable supply at a competitive cost. These three capabilities form an essential foundation for long term success in Animal Health.

Going forward, we are committed to investing in these capabilities but also see an opportunity to use them in more focused ways to enhance competitiveness and drive greater value for our customers and shareholders.

## OPERATIONAL EFFICIENCY PROGRAM

Over the last two years since becoming an independent company, we have delivered on our operating and financial targets, created shareholder value, and continued to meet our customer needs, while standing up a new global company and infrastructure.

We are certainly proud of what we have achieved, and as we transition out of our stand-up phase, we are focused on driving efficiency and reducing complexity that is a barrier to productivity. The program we announced today is a comprehensive plan that is designed to simplify operations, improve our cost structure, and better allocate resources. We enter this next stage building on solid business performance and will emerge as a stronger, simpler, and more cost efficient organization.

We expect to generate cost savings of roughly $300 million in 2017 and see our adjusted EBIT margin improve from 25% in 2014 to approximately 34% in 2017 as we reduce complexity and achieve a greater focus on key brands and markets.

We are fully aligned to achieve these goals and have the plans in place to incentivize our leaders to exceed these targets.

This initiative will allow us to derive additional value by taking full advantage of our scale. It will allow us to invest in the products, markets, and infrastructure that will drive profitable growth and continued leadership in the animal health industry.

CONTEXT FOR OUR OPERATIONAL EFFICIENCY PROGRAM

There are several important reasons why we are initiating this program now. First, after two years of separating from Pfizer, we now have full control of our operations, manufacturing, and corporate systems, and we have identified significant opportunities for improvement. Second, while the breadth of our portfolio and global footprint remain strengths of our business, we have seen certain elements of our breadth generate complexity that is a barrier to delivering value to our customers and to generating long-term growth. Third, we are beginning to see the benefits of implementing our ERP system.

The resulting standardization and potential to simplify our business through our new ERP system will allow us to increase productivity and streamline operations.

And finally, we remain focused on growing revenues and finding the most productive ways to allocate resources to internal investment and business development activities.

GOALS FOR OPERATIONAL EFFICIENCY

We have three main objectives for this operational efficiency initiative:

First, we want to reduce complexity that does not add value for our customers and our business.

Second, we want to optimize our resource allocation and efficiency.

And third, we want to better position Zoetis for long-term profitable growth.

ZOETIS EVOLUTION FORWARD

We will deliver on our first objective to reduce complexity by enhancing our focus on products, markets, and manufacturing plants that are most important to our future.

We will eliminate approximately 5,000 lower revenue and lower margin product SKUs out of a total of 13,000. This will drive higher focus and more reliable supply of our products and services.

We will enhance our manufacturing operations and accelerate the implementation of our Supply Network Strategy. We plan to sell or exit about 10 manufacturing sites over the long term.

Reflecting the strategic importance of manufacturing to our business model, Roman Trawicki, president of Global Manufacturing and Supply will now report directly to me as part of the executive team.

We will change our selling approach in approximately 30 markets by shifting to an indirect sales model or reducing our presence in certain countries.

We will reduce the number of regional reporting segments from four to two, the U.S. and International. We expect these changes to result in greater decision-making authority closer to the customer, while leveraging our scale to efficiently deliver marketing and other operational support. The U.S. Region will be led by Kristin Peck and the International Region will be led by Clint Lewis. Both are current members of our executive team and will continue reporting to me.

To deliver on our second objective to optimize resource allocation and efficiency, we will take the following actions:

We will leverage the efficiencies and standardization of our newly implemented ERP system to significantly reduce general and administrative costs in corporate functions. In addition to the ERP benefits we expect, another important efficiency driver will be a reduction of management layers and increased spans of control throughout the organization.

We will improve our ability to be more dynamic and agile in responding to customer needs by shifting marketing resources closer to the customer and simplifying other areas of non-customer facing commercial infrastructure.

And we will enhance our R&D focus to support a smaller portfolio of products as well as better prioritize the R&D portfolio to invest in projects with the highest returns.

In the past, we have demonstrated our commitment to improving operations and being more efficient. In 2009, we achieved a successful transformation when we became the world's largest animal health business through several acquisitions.

Then in 2013, we became a large, global, independent company followed by two consecutive years of industry-leading performance. Through each of these changes, we made ourselves better, improved how we serve customers, and created new and greater value for our stakeholders.

I am confident that the comprehensive plan we have announced today will allow us to transform again, building on our successful business model, to deliver high-quality, profitable revenue growth and become a more competitive company.

This is a significant initiative that will drive us to be a more focused and streamlined company. As a result, we will see a reduction in the number of positions at Zoetis of approximately 2,000 to 2,500 over the next 12 to 18 months, subject to any consultations with work councils and unions in certain markets.

With the implementation of this initiative we will:

- Better align Zoetis' resources and operating structure with our 3 inter-connected capabilities
- Supply products more reliably and at a competitive cost
- Increase capacity to invest in future business drivers
- And finally, tailor the product portfolio and improve efficiency of the operating model so we can pursue the next horizon of opportunity as the world leader with a singular focus on Animal Health.

Through this process, we will be more competitive and better positioned to achieve long-term profitable growth.

Before Paul covers the financial details, I would like to thank all of our colleagues who have contributed to our success through an environment of intense change. Our next transformation will be key to supporting our future success, and I know that we have the capabilities and team to implement these significant changes.